M. Boyd

2014 HSC TASK 1 EXAMINATION

Business Studies

2	5	5	6	4	0	6	5	

Student Number

Section I

L	A	W

Teacher Initials

36 marks
Attempt Questions 1–3
Allow about 60 minutes for this section

10

Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.

Question 1 (10 marks)

(a) Distinguish between a good and a service. **2**

A good is a tangible output, meaning that it can be physically touched and it can be stored for a period of time, unless it is perishable. A service, on the other hand, is an action performed by an entity on your behalf. As such it is intangible, meaning it cannot be touched, and is generally customised for individual customers.

2

(b) Explain how operations is interdependent with one other key business function, using examples. **4**

Name of other key business function: Marketing

Marketing Operations is dependent on marketing as marketing must tell operations the types of products to produce, based on their own research into consumer tastes and trends. Without this information, operations would not know what products to produce for the business. Marketing is dependent on operations as operations must produce products that conform with the expectations that marketing has advertised to consumers about the products. This ensures no deceptive and misleading conducts.

(c) Suit Warehouse Ltd is a company that manufactures business clothing for men. They have decided that the key to success is to have the lowest prices in the industry. **4**

Explain the impact that adopting a cost-leadership approach would have on Suit Warehouse's operations.

A cost leadership approach is a strategy in which the operations department produces goods at the lowest possible price in order to sell at low prices to consumers and becoming the most price competitive in the market. This will greatly impact the operations of Suit Warehouse as they must now seek the general maximisation of all costs to achieve this strategy. This means exploiting all cost efficiencies in the production, which may include outsourcing production to save costs. Another impact on the operations department of Suit Warehouse will be that they will have to seek economies of scale. This means that they will have to expand production in order to exploit cost efficiencies such as receiving discounted rates from suppliers due to their larger bargaining power with a larger production process.

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Section I (continued)

Question 2 (14 marks)

(a) Identify two laws that regulate the operations function of a business. **2**

1. Work Health and Safety Act (2012) ✓
2. Fair Work Act (2009) ✓

2

(b) Describe, using examples, the difference between legal compliance and ethical responsibility for operations management. **4**

Legal compliance for operations management refers to compulsory regulations that must be followed. If legal requirements are not met there are severe consequences, with penalties ranging from fines to possible jail time for some members of the business. An example of a law that operations must comply with is the Worker's Compensation Act of 1987, which states that businesses have a duty of care over their employees and if they are injured on the job they must be compensated. Ethical responsibilities are very different. They are not compulsory, and vary from business to business depending on the values and morals of the business. An example of an ethical responsibility is distributing a good in recyclable packaging. It is not mandatory for the business to do this, but they do anyway.

4

(c) How could government policies affect operations management? **4**

Government policies are proposed and may or may not be implemented in the future, depending on the political landscape and which party is in power. Government policies could affect operations management as policies can include granting subsidies to certain businesses. If a business is eligible for a subsidy, the operations function will receive additional funds and may benefit as it may be able to spend it as they wish (on research and development in new technology, for example). A second way that government policies could affect operations is if a policy removed tariffs on foreign competitors who wish to sell their product in a country. This may force the operations function to produce at lower costs to compete with the foreign competitors in the market.

4

(d) Discuss the influence of globalisation on the operations function. **4**

Globalisation is advantageous for the operations function as it allows the operations function to ~~[illegible]~~ take advantage of cost efficiencies around the world. Due to globalisation, operations can move production to where labour and inputs are cheapest, saving money. It also provides a larger market for the outputs of the operations function. It is disadvantageous, however, as foreign competitors can sell products at potentially cheaper rates in the marketplace, forcing the business to lower the prices of goods and forcing the operations function to search for more cost efficiencies.

4

End of Question 2

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Section I (continued)

Question 3 (12 marks)

Small Wall Motors are about to introduce a new vehicle into their range. They aim to have the vehicle on the market within twelve months.

(a) Describe ONE transformed and ONE transforming resource that would be used in the operations process at Small Wall Motors. 4

A transformed resource ~~at Small Wall Motors~~ is an input resource that is physically transformed through the transformation process to become an output. A transformed resource at Small Wall Motors would be the raw materials used to form the car, including metals for the exterior or leather for the interior. These raw materials would undergo the transformation process and form the output of the vehicle at the finish. A transforming resource is an input that assists with the ~~process~~ transformation process (it helps to make the final product). An example of a transforming resource at Small Wall Motors would be the facilities. This can include the equipment or inside to make the output or the factory itself. At Small Wall, an assembly line may be used to assist in the formation of the raw materials into a product fit for sale, in this case, a vehicle.

4

(b) Explain how sequencing and scheduling tools could be used in the production of the new vehicle at Small Wall Motors. **4**

Sequencing and scheduling tools are used by operations management to show the tasks that must be completed and when how they will be completed. There are two tools for sequencing and scheduling, the Gantt chart and the Critical Path Analysis. The Gantt chart could be used by the operations manager to show the actual progress of the production of the new vehicle against the planned progress. This is useful as the operations manager will be able to identify weaknesses and take corrective action to improve them. The Critical Path Analysis may also be used to give the operations manager a time frame in which the project will be completed, with any delay in production representing time added on to the critical path giving a reliable estimated date in which the new vehicle could be released.

4

(c) The CEO at Small Wall Motors wants to increase the warranty on the new vehicle to be ten years. **4**

Explain possible implications for the operations manager of this decision regarding warranty.

A warranty is a legally binding assurance by a manufacturer that entitles the consumer to compensation if the product does not perform at the level advertised by the manufacturer. The CEO's wish to increase the warranty to ten years will have numerous implications on the operations function. The extended length of the warranty will force the operations manager to produce a quality product that will last for this length of time, as otherwise the business will be forced to repair or replace any product that performs unsatisfactorily over this time, which could cost the business a considerable amount of money. This will mean that the operations manager will have to monitor carefully his production processes, and take corrective action to improve them if they are not meeting requirements.

4

End of Question 3